

New data raises concerns over India as an investment destination

In 2024-25, **foreign direct investment** (gross) into India stood at \$81 billion. But **net FDI** — essentially the difference between direct investment to and that by India — **fell** to just \$353 million, down from \$10.1 billion in the previous year. The **reasons** for this **stunning** collapse **can** be **traced** to an increase in investments by Indian firms abroad and greater **repatriation/disinvestment** by foreign firms from the country. Coming at a time of **subdued** domestic private investments, and when the country is trying to emerge as an attractive destination for firms moving operations out of China and integrate itself **to a greater extent** in global supply chains, this fall raises questions. Are both domestic and foreign firms finding more attractive investment opportunities in **jurisdictions** other than India? Do other countries offer a more favourable risk-return ratio? This deserves closer attention.

The finance ministry has **taken note of** this trend and **voiced** its concern. In its most recent monthly economic review, the ministry says that increasing **investment** by Indian firms abroad “even as uncertainty **reigned in** the world, **warrants** attention, especially **given** their **cautious** attitude towards domestic investment”. And while it also notes that gross FDI inflows have “remained broadly stable”, not only are flows lower than in 2021-22, but over the past few years, **FDI** (net inflows as a percentage of GDP) **has** remained well below recent highs as per data from the World Bank. Surprisingly, though, the RBI appears to be more **sanguine** about these trends. In its monthly bulletin, the Bank says that the **moderation** in net FDI, which **reflects** a rise in net outward FDI and repatriation FDI, “**is** a sign of a mature market where foreign investors can enter and exit smoothly, which reflects positively on the Indian economy”. Compared to India, UBS says that the “ASEAN 6’s FDI **dynamics** are **robust**” based on the first three quarters of 2024, and McKinsey has recently noted that most Southeast Asian **economies** are “seeing higher FDI in the fourth quarter” than in previous quarters. As these countries are India’s competitors in the China+1 play, these trends call for policy **intervention** at multiple levels to **address** the issues/**impediments** that are **holding back** investments from both domestic and foreign firms.

The near-term **outlook** for investments remains **muddled** as both firms and households face uncertainty due to US President Donald Trump’s tariffs. The finance ministry’s monthly review also notes that private sector capex “could **lag** behind, with firms adopting a more cautious **stance amid** global uncertainty”. However, a successful **conclusion** of the ongoing trade talks with the US and the EU could **has** a positive impact on investments and exports. After all, investment is more likely to flow to regions with broader and deeper trade agreements. The finance ministry also notes that “a successful US-India trade agreement could **flip** current **headwinds** into **tailwinds**, opening up new market access and **energising** exports”. The government must **press ahead** with these trade deals.

- Red/blue coloring of words in the sentence indicates subject verb relationship; where ‘red’ denotes ‘subject’ and ‘blue’ denotes ‘verb’.

[Practice Exercise]

Vocabulary

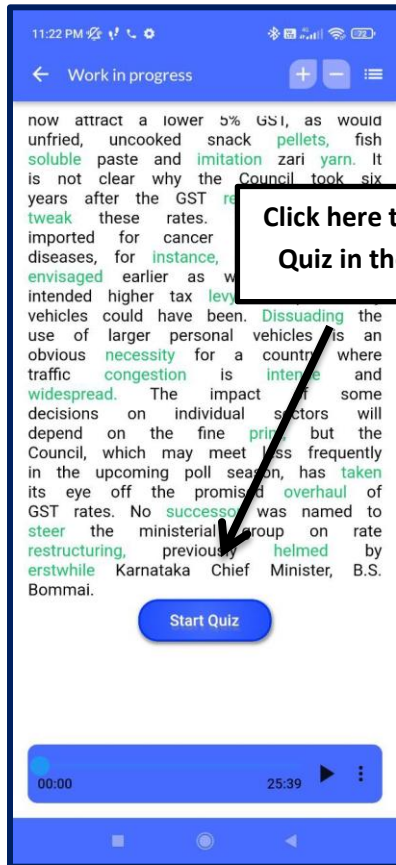
1. **Foreign direct investment** (FDI) (noun) – an investment made by a company or an individual in one country into business interests located in another country.
2. **Stunning** (adjective) – shocking, surprising, astonishing, remarkable, dramatic चौंकाने वाला
3. **Trace** (to) (verb) – track, identify, follow, discover, pinpoint पता लगाना
4. **Repatriation** (noun) – return (of funds), bringing back, retrieval, recovery, remittance धन की वापसी / पुनःप्राप्ति
5. **Disinvestment** (noun) – the withdrawal or reduction of an investment. पूंजी निकासी / विनिवेश
6. **Subdued** (adjective) – weak, restrained, moderate, low, sluggish मन्द / कमजोर
7. **To a greater extent** (phrase) – more widely, significantly, more deeply, further, more thoroughly अधिक स्तर पर
8. **Jurisdiction** (noun) – authority, territory, legal area, domain, scope अधिकार क्षेत्र
9. **Take note of** (phrase) – observe, acknowledge, recognize, pay attention to, consider ध्यान देना / संज्ञान लेना
10. **Voice** (verb) – express, state, articulate, communicate, declare व्यक्त करना
11. **Reign in** (phrasal verb) – dominate, prevail, rule, be widespread, control हावी होना / शासन करना
12. **Warrant** (verb) – justify, necessitate, demand, require, call for आवश्यक बनाना
13. **Given** (preposition) – considering, in view of, in light of, due to, taking into account को देखते हुए
14. **Cautious** (adjective) – careful, prudent, wary, risk-averse, restrained सतर्क / सावधान
15. **Sanguine** (adjective) – optimistic, hopeful, confident, upbeat, positive आशावादी
16. **Moderation** (noun) – reduction, restraint, easing, tempering, decline कमी
17. **Reflect** (verb) – indicate, show, represent, demonstrate, reveal दिखाना
18. **Dynamics** (noun) – trends, patterns, developments, behavior, flow प्रवृत्तियाँ / क्रियाविधि
19. **Robust** (adjective) – strong, healthy, vigorous, resilient, solid मजबूत
20. **Economies** (noun) – Countries in terms of GDP अर्थव्यवस्थाएँ

21. **Intervention** (noun) – involvement, interference, action, mediation, step
हस्तक्षेप / उपाय
22. **Address** (verb) – deal with, tackle, resolve, handle, confront समाधान करना / निपटना
23. **Impediment** (noun) – obstacle, barrier, hurdle, obstruction, block बाधा
24. **Hold back** (phrasal verb) – restrain, delay, hinder, restrict, prevent रोकना
25. **Outlook** (noun) – forecast, perspective, view, expectation, scenario दृष्टिकोण
26. **Muddled** (adjective) – unclear, uncertain, complicated, confused, blurred अस्पष्ट / उलझा हुआ
27. **Lag** (verb) – fall behind, delay, slow down, trail, drag पीछे रह जाना
28. **Stance** (noun) – position, attitude, viewpoint, stand, opinion दृष्टिकोण
29. **Amid** (preposition) – during, in the middle of, surrounded by, while, in the context of के बीच में
30. **Flip** (verb) – turn around, reverse, change, shift, transform उलटना
31. **Headwind** (noun) – a factor or condition that makes it more difficult to progress or succeed, usually in economics or finance प्रतिकूल स्थिति
32. **Tailwind** (noun) – a factor or condition that makes it easier for someone to progress or succeed, usually in economics or finance अनुकूल स्थिति / सहारा
33. **Energise** (verb) – boost, invigorate, stimulate, revive, motivate सशक्त बनाना / ऊर्जा देना
34. **Press ahead** (phrasal verb) – continue, move forward, push on, proceed, advance आगे बढ़ाना / जारी रखना

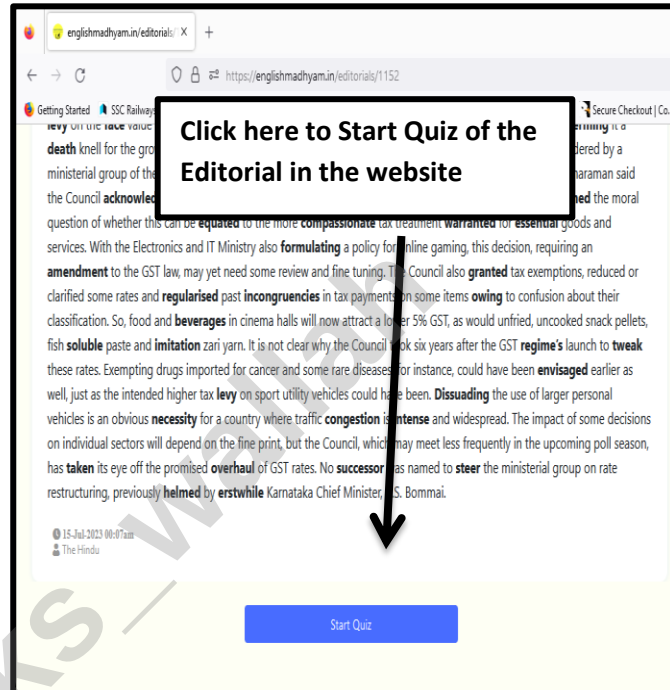
Summary of the Editorial

1. **Net FDI Collapse:** In 2024-25, India's net foreign direct investment (FDI) plummeted to just \$353 million from \$10.1 billion in the previous year.
2. **Gross FDI Stable:** While gross FDI stood at \$81 billion, net FDI declined due to increased outward investments by Indian firms and higher repatriation by foreign firms.
3. **Investment Outflow Worry:** Indian companies are investing more abroad even amid global uncertainty, raising concerns about their reluctance to invest domestically.
4. **Foreign Firms Pulling Out:** The disinvestment or repatriation by foreign firms suggests declining confidence in India as a long-term investment destination.
5. **Domestic Investment Sluggish:** The collapse in net FDI coincides with subdued domestic private investments, deepening concern.
6. **Global Competition:** India is aiming to attract firms moving operations from China but is facing stiff competition from Southeast Asian nations.
7. **Favourable Alternatives:** The editorial questions whether other countries offer a better risk-return profile than India for both foreign and domestic investors.
8. **Finance Ministry Alarmed:** The ministry's economic review flagged this trend and highlighted the cautious approach of Indian firms toward local investment.
9. **FDI as % of GDP Low:** According to World Bank data, India's FDI as a percentage of GDP remains far below its recent peaks.
10. **RBI's Contrasting View:** The RBI sees the FDI moderation as a positive sign of market maturity, allowing smooth capital entry and exit.
11. **ASEAN Advantage:** UBS and McKinsey report that ASEAN-6 countries are attracting stronger FDI, especially in the China+1 shift.
12. **Policy Urgency:** These trends underscore the need for targeted policy interventions to retain and attract investment.
13. **Global Uncertainty Impact:** Firms are hesitant to invest amid global instability, such as tariffs imposed by U.S. President Donald Trump.
14. **Trade Deals Crucial:** The finance ministry stresses that trade agreements with the U.S. and EU could improve investment sentiment.
15. **Need for Proactive Action:** The government must push forward trade negotiations and implement reforms to convert investment headwinds into tailwinds.

Practice Exercise: Banking Pattern Based



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